H1 RENEWAL READINESS · SCORECARD

Your H1 Numbers Are Your Renewal Leverage.

Five metrics PBMs already model into their renewal proposals. Pull them at the H1 mark, score against market benchmarks, and walk into the renewal conversation with the data the PBM did not present to you.

01 Before You Score: Data to Pull from Your PBM

Request 12 to 24 months of history for each item below. The H1 numbers are most useful when compared to the same period last year. If the PBM's dashboard does not produce any of these natively, ask for them as a custom pull; the request itself is diagnostic.

- Generic effective rate (GER), retail and mail, monthly
- Specialty drug spend as % of total pharmacy spend, monthly
- High-cost claimant count by threshold ($50K, $100K), quarterly
- Total pharmacy spend and member months by month
- Rebate per brand claim, quarterly
- Contract guarantees document for current PBM agreement

02 Score Your Readiness

METRIC	GREEN	YELLOW	RED	YOUR NUMBER	SCORE
GER (Retail)	GREEN > 85%	YELLOW 80-85%	RED < 80% (pricing erosion)	_____	○ ○ ○
PMPM Trend (YoY)	GREEN < 10% growth	YELLOW 10-15% growth	RED > 15% growth	_____	○ ○ ○
Specialty % of Spend	GREEN 40-55% (stable)	YELLOW +2-3 pts YoY	RED > 55%, or +3 pts YoY	_____	○ ○ ○
Rebate per Brand Claim	GREEN Meeting / exceeding contract guarantee	YELLOW Within 5% of guarantee, declining trend	RED Below guarantee or material decline	_____	○ ○ ○
High-Cost Claimants (> $100K)	GREEN Stable or declining vs prior year	YELLOW Increasing, within stop-loss capacity	RED Clustering near attachment point	_____	○ ○ ○

Illustrative benchmarks for educational purposes. Actual benchmarks vary by plan size, member population, and contract structure. Three or more Greens: negotiate from strength. Three or more Reds: address performance gaps before the PBM sets renewal terms.

03 How to Calculate Each Metric

The benchmarks above only work with consistent calculation methodology. Document the formula you used for each metric so the H1 numbers can be compared apples-to-apples against H2 and against next year's H1.

GER (Retail)	`(AWP - Actual Cost) / AWP`	*Pull total generic spend and prescriptions; calculate average cost per generic Rx; compare to AWP. The gap between your GER and your contract guarantee is one of the most concrete data points to bring to renewal.*
PMPM Trend	`Total Pharmacy Spend / Member Months`	*Calculate H1 PMPM, compare to same period last year. If double-digit growth, decompose into price trend, utilization trend, and mix shift (specialty + GLP-1).*
Specialty % of Spend	`Specialty Spend / Total Pharmacy Spend`	*Track quarterly trajectory. Sub-metrics: top 10 specialty drugs by spend, biosimilar adoption rate within specialty categories, specialty PMPM trend vs traditional PMPM trend.*
Rebate per Brand Claim	`Total Rebates / Brand Claims`	*More revealing than total rebate dollars. Total rebates can grow because total spend grew. Rebate per claim measures PBM rebate efficiency.*
High-Cost Claimants	`Count of Members > $100K`	*Track quarterly. Compare to stop-loss specific and aggregate attachment points. Clustering compresses stop-loss exposure faster than projections suggest.*

04 Renewal Positioning by Score Pattern

3+ GREENS · NEGOTIATING FROM STRENGTH

Use performance data to anchor expectations.

Strong H1 performance is leverage. Bring documented metrics to the renewal table; use them to anchor pricing and guarantee discussions. Push for stronger guarantees on the metrics that are performing well; PBMs are more willing to commit on metrics they are already meeting.

MIXED GREENS AND REDS

Negotiate trade-offs deliberately.

Use Green metrics as anchors and Red metrics as remediation conversations. The best renewal outcomes pair "your performance is strong here, document it as a stronger guarantee" with "performance is weak here, here is the contract change that fixes it" in the same negotiation.

3+ REDS · PERFORMANCE GAP CONVERSATION

Address gaps before the PBM sets renewal terms.

Three or more Red metrics signal the PBM will lead the renewal conversation with their narrative. Get ahead by documenting each gap, identifying the contract or operational driver, and bringing remediation requests to the table. Engage your broker to coordinate stop-loss carrier review if Red on High-Cost Claimants.

RED ON GER OR REBATE PER BRAND CLAIM

Open the pricing conversation now, not at renewal.

Pricing erosion mid-contract often qualifies for remediation under existing contract language; do not wait for renewal to address it. Document the shortfall, calculate the dollar impact, and request remediation in writing. The remediation conversation is more productive than the renewal pricing conversation.